



Interest subvention for dairy sector

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Objective of the scheme

To offset the economic impact of Covid-19 on Dairy Sector, Ministry of Fisheries, [Animal Husbandry](#) and Dairying has introduced a new scheme "Interest subvention on Working Capital Loans for Dairy sector" for Supporting Dairy Cooperatives and Farmer Producer Organizations engaged in dairy activities (SDC & FPO). The scheme will be implemented through National Dairy Development Board (NDDB), Anand

Period of implementation

The scheme was initiated during 2020-21. Govt has now extended the same for the period of 2021-22 to 2025-26 with an outlay of Rs. 500 Crore.

Eligible beneficiaries

Dairy Cooperatives and Farmer owned milk producer companies (such as Milk Unions, Milk Federations, Farmer Owned / Milk Producer Companies).

Benefits

In order to meet the working capital needs of the Cooperatives and Farmer owned milk producer companies, Interest subvention will be given on working capital loan taken from scheduled Commercial Banks/R.R.Bs/Cooperative Banks/Financial Institutions by Cooperatives/FPOs for conversion of milk into conserved commodities and other milk products

The scheme has made provisions for providing interest subvention of 2% per annum, with an additional incentive of 2% per annum interest subvention to be given in case of prompt and timely repayment of interest servicing.

Whom to contact

Please contact your nearest bank or [NDDB](#) for more details.

Source : [Ministry of Fisheries, Animal Husbandry & Dairying](#)

source :

<https://data.vikaspediain/short/c?k=uQ6MM6v56GBXNlddFOgOfA>

